Amendment of section 80G.

40. In section 80G of the Income-tax Act,—

(*I*) in sub-section (2), in clause (*a*), sub-clauses (*ii*), (*iiic*) and (*iiid*) shall be omitted with effect from the 1st day of April, 2024;

(*II*) in sub-section (5),—

(*A*) with effect from the 1st day of October, 2023,—

(*i*) in the first proviso, for clause (*iv*), the following clause shall be substituted, namely:—

"(*iv*) in any other case, where activities of the institution or fund have—

(*A*) not commenced, at least one month prior to the commencement of the previous year relevant to the assessment year from which the said approval is sought;

(*B*) commenced and where no income or part thereof of the said institution or fund has been excluded from the total income on account of applicability of sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) of clause (*23C*) of section 10 or section 11 or section 12 for any previous year ending on or before the date of such application, at any time after the commencement of such activities:";

(*ii*) in the second proviso,—

(*a*) in clause (*ii*),—

(*1*) in the opening portion, after the word, brackets and figures "clause (*iii*)", the words, brackets, figures and letter "or sub-clause (*B*) of clause (*iv*)" shall be inserted;

(*2*) in sub-clause (*b*), for item (*B*), the following shall be substituted, namely:—

"(*B*) if he is not so satisfied, pass an order in writing,—

(*I*) in a case referred to in clause (*ii*) or clause (*iii*) of the first proviso, rejecting such application and cancelling its approval; or

(*II*) in a case referred to in sub-clause (*B*) of clause (*iv*) of the first proviso, rejecting such application,

after affording it a reasonable opportunity of being heard;";

(*b*) for clause (*iii*), the following clause shall be substitu-ted, namely:—

"(*iii*) where the application is made under sub-clause (*A*) of clause (*iv*) of the said proviso or the application is made under clause (*iv*) of the said proviso as it stood immediately before its amendment *vide* the Finance Act, 2023, pass an order in writing granting it approval provisionally for a period of three years from the assessment year from which the approval is sought,";

(*B*) in the third proviso, for the words "first proviso", the words "second proviso" shall be substituted.